

Three Requisites with Respect to Working Capital. In examining the current-asset situation, an industrial bond buyer should satisfy himself on three counts, *viz.*:

1. That the cash holdings are ample.
2. That the ratio of current assets to current liabilities is a strong one.
3. That the working capital bears a suitable proportion to the funded debt.

It is not feasible to fix definite minimum requirements for any one of these three factors, especially since the normal working-capital situation varies widely with different types of enterprise. It is generally held that current assets should be at least double the current liabilities, and a smaller ratio would undoubtedly call for further investigation. We suggest an additional standard requirement for the ordinary industrial company, *viz.*, that the working capital be at least equal to the amount of the bonded debt. This is admittedly an arbitrary criterion, and in some cases it may prove unduly severe. But it is interesting to note that in the case of every one of the industrial issues which maintained their investment rank marketwise throughout 1932, as listed in Chap. 6, note 6, the working capital exceeded the total of bonds.⁴

In contrast with the emphasis laid upon the current-asset position of industrial concerns, relatively little attention has been paid to the working capital shown by railroads, and none at all to that of public utilities. The reason for this is twofold. Neither railways nor utilities have the problem of financing the production and carrying of merchandise stocks or of extending large credits to customers. Furthermore, these companies have been accustomed to raising new capital periodically for expansion purposes, in the course of which they readily replenish their cash account if depleted. Because new financing is easily obtainable by prosperous companies of this type, even an excess of current liabilities over quick assets has not been considered a serious matter. Recent experience indicates the desirability of substantial cash holdings by a railroad to meet emergency developments, and the bond buyer might do well to favor those public utilities also which maintain a comfortable working-capital position.

⁴ General Baking reached this position during 1932. Including General Baking, 13 of the 18 companies showed *cash* assets alone exceeding their funded debt. Certain types of industrials—*e.g.*, baking, ice and restaurant concerns—normally require a relatively small amount of working capital in relation to total assets and business. For such businesses, the 100% net current-asset coverage requirement for bonds would be overstringent. See our later discussion of indenture provisions requiring maintenance of working capital as a protection for bond issues (Chap. 19).